

Business Problem:

Home credit is a financial institution that wants to promote financial inclusion to customer with little or noncredit history while controlling the risk of loan default. However, expanding financial inclusion makes accurate risk assessment more challenging because some customers have limited traditional credit information that could potentially increase their loan default and financial losses.

Business of a Solution

The purpose of this project is to provide Home Credit with better information for evaluating applicants' repayment risk. By identifying applicants who have a higher probability of default, Home Credit could make more informed lending decisions and potentially reduce credit losses. At the same time, identifying applicants who have limited traditional credit history, but characteristics associated with successful repayment could help Home Credit approve customers who might otherwise be rejected. The potential business benefit is to improve the balance between financial inclusion, responsible lending, and financial performance.

Succes Metrics

The success of this project can be evaluated using business measures such as default rate, approval of creditworthy applicants, and credit losses. A successful solution would reduce the proportion of loans that result in default while avoiding unnecessary rejection in their lending decision of applicants who are capable of repayment.

Analytics Approach

The project will analyze current customer/application information and historical financial information to identify factors associated with loan default and estimate an applicant's probability of default. The available data includes information from current applications as well as previous credit, loan applications, repayment behavior, and credit-card or other account history. The analysis will use these sources of information to better distinguish applicants with different levels of repayment risk and provide information that can support credit-risk and lending decisions.

Scope

The project will deliver an analysis of Home Credit applicants using current application and historical financial information to identify factors associated with loan default and estimate applicants' probability of default. The findings will be used to provide recommendations that can support Home Credit in making more informed lending and credit-risk decisions.

Details

The project would be completed by Ivania Fearnow. The project will be completed by December 1st and a draft of the report will be delivery on November 3.